English Translation of a Report and Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION
AND SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS
WITH REPORT OF INDEPENDENT AUDITORS
FOR THE YEARS ENDED
DECEMBER 31, 2025 AND 2024

Address: A1-4, 3F, No.1, Li-Hsin First Road, Hsinchu Science Park, Hsinchu City 300, Taiwan R.O.C.
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The reader is advised that these consolidated financial statements have been prepared originally in Chinese. In the event of a conflict between these financial statements and the original Chinese version or difference in interpretation between the two versions, the Chinese language financial statements shall prevail.

REPRESENTATION LETTER

The entities included in the consolidated financial statements as of December 31, 2025 and for the year then ended prepared under the International Financial Reporting Standards, No.10 are the same as the entities to be included in the Combined Financial Statements of the Company, if any to be prepared, pursuant to the Criteria Governing Preparation of Affiliation Reports, Consolidated Business Reports and Consolidated Financial Statements of Affiliated Enterprises (referred to as “Combined Financial Statements”). Also, the footnotes disclosed in the consolidated financial statements have fully covered the required information in such Combined Financial Statements. Accordingly, the Company did not prepare any other set of Combined Financial Statements than the consolidated financial statements.

Very truly yours,

Andes Technology Corporation

Chairman: Jyh-Ming Lin

March 9, 2026

Independent Auditors' Report Translated from Chinese

Independent Auditors' Report

To: Andes Technology Corporation

Opinion

We have audited the accompanying consolidated balance sheets of Andes Technology Corporation and its subsidiaries (the "Group") as of December 31, 2025 and 2024, and the related consolidated statements of comprehensive income, changes in equity and cash flows for the years ended December 31, 2025 and 2024, and notes to the consolidated financial statements, including the summary of material accounting policies (collectively "the consolidated financial statements").

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of the Group as of December 31, 2025 and 2024, and their consolidated financial performance and cash flows for the years ended December 31, 2025 and 2024, in conformity with the requirements of the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Financial Reporting Standards, International Accounting Standards, Interpretations developed by the International Financial Reporting Interpretations Committee or the former Standing Interpretations Committee as endorsed and became effective by Financial Supervisory Commission of the Republic of China.

Basis for Opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and the Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China (the "Norm"), and we have fulfilled our other ethical responsibilities in accordance with the Norm. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of 2025 consolidated financial statements. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Revenue recognition

Operating revenues recognized by the Group amounted to NT$1,478,187 thousand for the year ended December 31, 2025. The Group provides embedded processor intellectual property (IP), and its revenues are mainly from licensing CPU IP and providing CPU IP maintenance services to clients. Considering that revenues from contracts with customers usually include more than one performance obligations, the Group recognizes revenues when the control of goods and services under each performance obligation has been transferred. However, contract terms may vary and there remains a risk of revenues being recorded in an inappropriate period because the control of the promised goods or services has not been transferred to the buyer. Therefore, we considered this a key audit matter.

Our audit procedures included (but not limited to) assessing the appropriateness of the accounting policy of revenue recognition; evaluating and testing the design and operating effectiveness of internal controls over revenue recognition; selecting samples from the contracts with customers to review significant terms and conditions of contracts, identify separate performance obligations and their transaction prices, and further perform tests of details to verify the correctness of the amount and timing of revenue recognition.

We also assessed the adequacy of disclosures of operating revenues. Please refer to Notes 4 and 6 to the Group’s consolidated financial statements.

Intangible assets arising from internally generated development costs

The Group devotes itself to developing and constructing unique system architectures and contributes significant research and development ("R&D") efforts in development of embedded processor IPs and hardware/software developing platforms. Therefore, the Group determined to capitalize the expenditures during development phases of certain R&D projects. Net carrying value of intangible assets (including technologies) that recognized primarily from internally generated development costs was NT$2,614,744 thousand as of December 31,2025, of which NT$1,137,669 thousand was recognized during the year. Both amounts were material to the Group. In order to meet all of the capitalization criteria, the Group's management performed assessments on each individual project based on the internal and external information available, which involved management judgement and assumptions. Therefore, we considered this a key audit matter.

Our audit procedures included (but not limited to) evaluating and testing the design and operating effectiveness of internal controls over the internally generated intangible assets, including assessing whether the Group has established appropriate written accounting policies that address the required conditions and documentations for R&D expenditure capitalization; selecting samples from research and development projects of the year to gather evidence to support the technical feasibility, future economic benefits, the availability of future resources and expenditures needed, the management's intention to complete and the ability to sell the intangible asset; and verifying the accuracy of the expenditures attributable to the intangible asset during its development phase and the amount to be capitalized.

We also assessed the adequacy of disclosures of intangible assets. Please refer to Notes 4, 5 and 6 to the Group's consolidated financial statements.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the requirements of the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Financial Reporting Standards, International Accounting Standards, Interpretations developed by the International Financial Reporting Interpretations Committee or the former Standing Interpretations Committee as endorsed and became effective by Financial Supervisory Commission of the Republic of China and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the ability to continue as a going concern of the Group, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including audit committee, are responsible for overseeing the financial reporting process of the Group.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the Group.

3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability to continue as a going concern of the Group. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the consolidated financial statements, including the accompanying notes, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of 2025 consolidated financial statements and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Others

We have audited and expressed an unqualified opinion on the parent company only financial statements of Andes Technology Corporation as of and for the years ended December 31, 2025 and 2024.

Chiu, Wan-Ju

Hsu, Hsin-Min

Ernst & Young, Taiwan
March 9, 2026

Notice to Readers

The accompanying consolidated financial statements are intended only to present the financial position, results of operations and cash flows in accordance with accounting principles and practices generally accepted in the R.O.C. and not those of any other jurisdictions. The standards, procedures and practices to audit such consolidated financial statements are those generally accepted and applied in the R.O.C.

Accordingly, the accompanying consolidated financial statements and report of independent auditors are not intended for use by those who are not informed about the accounting principles or Standards on Auditing of the R.O.C., and their applications in practice. As the financial statements are the responsibility of the management, Ernst & Young cannot accept any liability for the use of, or reliance on, the English translation or for any errors or misunderstandings that may derive from the translation.

English Translation of Consolidated Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

As of December 31, 2025 and 2024

(Amounts in thousands of New Taiwan Dollars)

ASSETS	Notes	December 31, 2025	%	December 31, 2024	%
Current assets					
Cash and cash equivalents	4, 6(1)	$ 1,419,588	22.21	$ 2,082,726	39.29
Financial assets measured at amortized cost, current	4, 6(2)	224,100	3.51	-	-
Contract assets, current	4, 6(12), 6(13)	156,612	2.44	348,200	6.57
Trade receivables, net	4, 6(3), 6(13)	305,530	4.78	223,901	4.23
Other receivables		17,691	0.28	30,454	0.57
Inventories	4, 6(4)	4,614	0.07	3,871	0.07
Prepayments		46,680	0.73	77,500	1.46
Total current assets		2,174,815	34.02	2,766,652	52.19
Non-current assets					
Financial assets at fair value through profit or loss, non-current	4, 6(8), 6(9)	1,050	0.02	-	-
Property, plant and equipment	4, 6(5)	1,291,025	20.19	130,982	2.47
Right-of-use assets	4, 6(14)	60,558	0.95	85,786	1.62
Intangible assets	4, 6(6)	2,695,185	42.16	1,969,735	37.16
Deferred tax assets	4, 6(18)	54,479	0.85	21,738	0.41
Refundable deposits		9,581	0.15	9,625	0.18
Other noncurrent assets	6(7)	106,350	1.66	316,670	5.97
Total non-current assets		4,218,228	65.98	2,534,536	47.81
Total assets		$ 6,393,043	100.00	$ 5,301,188	100.00

The accompanying notes are an integral part of the consolidated financial statements.

Chairman : Jyh-Ming Lin President : Hong-Meng Su Chief Financial Officer : Han-Chang Chou

English Translation of Consolidated Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

As of December 31, 2025 and 2024

(Amounts in thousands of New Taiwan Dollars)

LIABILITIES AND EQUITY	Notes	December 31, 2025	%	December 31, 2024	%
Current liabilities					
Contract liabilities, current	4, 6(12)	$ 193,654	3.03	$ 126,499	2.39
Trade payables		3	-	99	-
Other payables		181,690	2.84	196,146	3.70
Current tax liabilities		73	-	210	-
Lease liabilities, current	4, 6(14)	28,876	0.45	30,030	0.57
Other current liabilities		9,801	0.15	11,954	0.23
Total current liabilities		414,097	6.47	364,938	6.89
Non-current liabilities					
Contract liabilities, noncurrent	4, 6(12)	17,347	0.27	16,275	0.31
Bonds payable	4, 6(9)	1,412,026	22.09	-	-
Deferred tax liabilities	4, 6(18)	-	-	40,553	0.76
Lease liabilities, noncurrent	4, 6(14)	34,707	0.55	58,569	1.10
Deposits received		32	-	96	-
Total non-current liabilities		1,464,112	22.91	115,493	2.17
Total liabilities		1,878,209	29.38	480,431	9.06
Equity attributable to owners of the parent					
Capital					
Common stock	6(11)	506,509	7.92	506,509	9.56
Capital surplus	6(9), 6(11)	4,209,255	65.84	4,096,056	77.27
Retained earnings	6(11)				
Legal reserve		60,855	0.95	60,666	1.14
Undistributed earnings		(268,686)	(4.20)	146,762	2.77
Total retained earnings		(207,831)	(3.25)	207,428	3.91
Other equity		6,901	0.11	10,764	0.20
Total equity		4,514,834	70.62	4,820,757	90.94
Total liabilities and equity		$ 6,393,043	100.00	$ 5,301,188	100.00

The accompanying notes are an integral part of the consolidated financial statements.

Chairman : Jyh-Ming Lin President : Hong-Meng Su Chief Financial Officer : Han-Chang Chou

English Translation of Consolidated Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

For the years ended December 31, 2025 and 2024

(Amounts in thousands of New Taiwan Dollars, except for earnings per share)

Description	Notes	2025	%	2024	%
Operating revenues	4, 6(12)	$1,478,187	100.00	$1,381,507	100.00
Operating costs	6(4)	(1,017)	(0.07)	(646)	(0.05)
Gross profit		1,477,170	99.93	1,380,861	99.95
Operating expenses	6(13), 6(14), 6(15), 7				
Selling expenses		(399,635)	(27.03)	(384,817)	(27.85)
Administrative expenses		(189,368)	(12.81)	(186,092)	(13.47)
Research and development expenses		(1,284,555)	(86.90)	(1,083,192)	(78.40)
Expected credit losses		(23,453)	(1.59)	(2,839)	(0.21)
Total operating expenses		(1,897,011)	(128.33)	(1,656,940)	(119.93)
Operating loss		(419,841)	(28.40)	(276,079)	(19.98)
Non-operating income and expenses	6(16)				
Interest income		35,941	2.43	105,953	7.67
Other income		11,761	0.79	23,983	1.74
Other gains and losses		(92,904)	(6.28)	160,720	11.63
Finance costs		(16,302)	(1.10)	(3,036)	(0.22)
Total non-operating income and expenses		(61,504)	(4.16)	287,620	20.82
Net (loss) income before income tax		(481,345)	(32.56)	11,541	0.84
Income tax income (expense)	4, 6(18)	66,086	4.47	(9,648)	(0.70)
Net (loss) income		(415,259)	(28.09)	1,893	0.14
Other comprehensive income (loss)	6(17), 6(18)				
To be reclassified to profit or loss in subsequent periods					
Exchange differences resulting from translating the financial statements of foreign operations		(4,829)	(0.33)	9,923	0.71
Income tax relating to those items to be reclassified to profit or loss		966	0.07	(1,985)	(0.14)
Other comprehensive (loss) income, net of tax		(3,863)	(0.26)	7,938	0.57
Total comprehensive (loss) income		$ (419,122)	(28.35)	$ 9,831	0.71
Net (loss) income attributable to:					
Owners of the parent		$ (415,259)		$ 1,893	
Total comprehensive (loss) income attributable to:					
Owners of the parent		$ (419,122)		$ 9,831	
Earnings per share (NTD)	6(19)				
Basic Earnings Per Share		$ (8.20)		$ 0.04	
Diluted Earnings Per Share		$ (8.20)		$ 0.04	

The accompanying notes are an integral part of the consolidated financial statements.

Chairman : Jyh-Ming Lin President : Hong-Meng Su Chief Financial Officer : Han-Chang Chou

English Translation of Consolidated Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

For the years ended December 31, 2025 and 2024

(Amounts in thousands of New Taiwan Dollars)

Description	Equity attributable to owners of the parent					
	Capital		Retained earnings		Other equity	
	Common stock	Capital surplus	Legal reserve	Undistributed earnings	Exchange differences resulting from translating the financial statements of foreign operations	Total equity
Balance as of January 1, 2024	$ 506,509	$ 4,096,056	$ 60,666	$ 144,869	$ 2,826	$ 4,810,926
Net income for the year ended December 31, 2024	-	-	-	1,893	-	1,893
Other comprehensive income for the year ended December 31, 2024	-	-	-	-	7,938	7,938
Total comprehensive income	-	-	-	1,893	7,938	9,831
Balance as of December 31, 2024	506,509	4,096,056	60,666	146,762	10,764	4,820,757
Appropriation and distribution of 2024 earnings:						
Legal reserve	-	-	189	(189)	-	-
Due to recognition of equity component of convertible bonds issued	-	113,199	-	-	-	113,199
Net loss for the year ended December 31, 2025	-	-	-	(415,259)	-	(415,259)
Other comprehensive loss for the year ended December 31, 2025	-	-	-	-	(3,863)	(3,863)
Total comprehensive loss	-	-	-	(415,259)	(3,863)	(419,122)
Balance as of December 31, 2025	$ 506,509	$ 4,209,255	$ 60,855	$ (268,686)	$ 6,901	$ 4,514,834

The accompanying notes are an integral part of the consolidated financial statements.

Chairman : Jyh-Ming Lin President : Hong-Meng Su Chief Financial Officer : Han-Chang Chou

English Translation of Consolidated Financial Statements Originally Issued in Chinese

ANDES TECHNOLOGY CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

For the years ended December 31, 2025 and 2024

(Amounts in thousands of New Taiwan Dollars)

Description	2025	2024
Cash flows from operating activities:		
Net (loss) income before income tax	$ (481,345)	$ 11,541
Adjustments for:		
The profit or loss items which did not affect cash flows:		
Depreciation	81,899	71,469
Amortization	520,980	397,134
Net loss on financial assets at fair value through profit or loss	1,800	-
Expected credit losses	23,453	2,839
Interest expense	16,302	3,036
Interest income	(35,941)	(105,953)
Changes in operating assets and liabilities:		
Contract assets	191,588	(120,819)
Trade receivables	(105,857)	(27,145)
Other receivables	188	(131)
Inventories	(743)	(1,723)
Prepayments	30,820	79,486
Other noncurrent assets	(19,579)	107
Contract liabilities	68,227	59,315
Trade payables	(96)	99
Other payables	(21,758)	(80,741)
Other current liabilities	(2,153)	(10,729)
Cash generated from operating activities	267,785	277,785
Interest received	40,822	129,617
Income tax refunded (paid)	1,315	(35,231)
Net cash provided by operating activities	309,922	372,171
Cash flows from investing activities:		
Acquisition of financial assets measured at amortized cost	(224,100)	-
Proceeds from disposal of financial assets measured at amortized cost	-	1,078,265
Acquisition of property, plant and equipment	(16,016)	(4,447)
Increase in refundable deposits	(34)	(305)
Decrease in refundable deposits	28	-
Acquisition of intangible assets	(1,241,818)	(1,152,904)
Increase in other noncurrent assets	(963,637)	(73,925)
Net cash used in investing activities	(2,445,577)	(153,316)
Cash flows from financing activities:		
Proceeds from issuing bonds	1,515,000	-
Increase in deposits received	-	96
Decrease in deposits received	(64)	-
Cash payments for the principal portion of the lease liabilities	(34,653)	(32,535)
Interest paid	(6,237)	(3,036)
Net cash provided by (used in) financing activities	1,474,046	(35,475)
Effect of changes in exchange rate on cash and cash equivalents	(1,529)	9,521
Net (decrease) increase in cash and cash equivalents	(663,138)	192,901
Cash and cash equivalents at the beginning of the year	2,082,726	1,889,825
Cash and cash equivalents at the end of the year	$ 1,419,588	$ 2,082,726

The accompanying notes are an integral part of the consolidated financial statements.

Chairman : Jyh-Ming Lin President : Hong-Meng Su Chief Financial Officer : Han-Chang Chou

1. History and Organization

As officially approved, Andes Technology Corporation ("ANDES") was incorporated at Hsinchu Science Park on March 14, 2005. Since then, it has been specialized in the R&D, designing, manufacturing and marketing of embedded processor intellectual property (IP), related hardware/software developing platform and toolchains.

ANDES' shares were publicly listed on the Taiwan Stock Exchange (TWSE) on March 14, 2017. The registered location is at A1-4, 3F, No.1, Li-Hsin First Road, Hsinchu Science Park, Hsinchu City 300, Taiwan R.O.C. The operating location is at 10F, No.1, Section 3, Gongdao 5th Road, East District, Hsinchu City 300, Taiwan R.O.C.

2. Date and Procedures of Authorization of Financial Statements for Issue

The consolidated financial statements of Andes Technology Corporation and its subsidiaries ("the Group") were authorized for issue in accordance with a resolution of the Board of Directors' meeting on March 9, 2026.

3. Newly Issued or Revised Standards and Interpretations

(1) Changes in accounting policies resulting from applying for the first-time certain standards and amendments

The Group applied for the first time International Financial Reporting Standards, International Accounting Standards, and Interpretations issued, revised or amended which are endorsed by Financial Supervisory Commission ("FSC") and become effective for annual periods beginning on or after January 1, 2025. The adoption of the new amendments had no material impact on the Group.

(2) Standards or interpretations issued, revised or amended, by International Accounting Standards Board ("IASB") which are endorsed by FSC, and not yet adopted by the Group as at the end of the reporting period are listed below.

Items	New, Revised or Amended Standards and Interpretations	Effective Date issued by IASB
A	IFRS 17 “Insurance Contracts”	January 1, 2023
B	Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7	January 1, 2026
C	Annual Improvements to IFRS Accounting Standards – Volume 11	January 1, 2026
D	Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7	January 1, 2026

A. IFRS 17 “Insurance Contracts”

IFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects (including recognition, measurement, presentation and disclosure requirements). The core of IFRS 17 is the General (building block) Model, under this model, on initial recognition, an entity shall measure a group of insurance contracts at the total of the fulfilment cash flows and the contractual service margin. The carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of the liability for remaining coverage and the liability for incurred claims.

Other than the General Model, the standard also provides a specific adaptation for contracts with direct participation features (the Variable Fee Approach) and a simplified approach (Premium Allocation Approach) mainly for short-duration contracts.

IFRS 17 was issued in May 2017 and it was amended in 2020 and 2021. The amendments include deferral of the date of initial application of IFRS 17 by two years to annual beginning on or after January 1, 2023 (from the original effective date of January 1, 2021); provide additional transition reliefs; simplify some requirements to reduce the costs of applying IFRS 17 and revise some requirements to make the results easier to explain. IFRS 17 replaces an interim Standard – IFRS 4 Insurance Contracts – from annual reporting periods beginning on or after January 1, 2023.

B. Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS7

The amendments include:

(a) Clarify that a financial liability is derecognised on the settlement date and describe the accounting treatment for settlement of financial liabilities using an electronic payment system before the settlement date.
(b) Clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features.
(c) Clarify the treatment of non-recourse assets and contractually linked instruments.
(d) Require additional disclosures in IFRS 7 for financial assets and liabilities with contractual terms that reference a contingent event (including those that are ESG-linked), and equity instruments classified at fair value through other comprehensive income.

C. Annual Improvements to IFRS Accounting Standards – Volume 11

(a) Amendments to IFRS 1
(b) Amendments to IFRS 7
(c) Amendments to Guidance on implementing IFRS 7
(d) Amendments to IFRS 9
(e) Amendments to IFRS 10
(f) Amendments to IAS 7

D. Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

The amendments include:

(a) Clarify the application of the ‘own-use’ requirements.
(b) Permit hedge accounting if these contracts are used as hedging instruments.
(c) Add new disclosure requirements to enable investors to understand the effect of these contracts on a company’s financial performance and cash flows.

The abovementioned standards and amendments are applicable for annual periods beginning on or after January 1, 2026 and have no material impact on the Group.

(3) Standards or interpretations issued, revised or amended, by IASB which have not been endorsed by FSC, and not yet adopted by the Group as at the date when the Group's financial statements were authorized for issue, are listed below.

Items	New, Revised or Amended Standards and Interpretations	Effective Date issued by IASB
A	IFRS 10 "Consolidated Financial Statements" and IAS 28 "Investments in Associates and Joint Ventures" – Sale or Contribution of Assets between an Investor and its Associate or Joint Ventures	To be determined by IASB
B	IFRS 18 "Presentation and Disclosure in Financial Statements"	January 1, 2027 (Note)
C	Disclosure Initiative – Subsidiaries without Public Accountability: Disclosures (IFRS 19)	January 1, 2027
D	Translation to a Hyperinflationary Presentation Currency (Amendments to IAS 21 and IAS 29)	January 1, 2027

Note：On September 25, 2025, the FSC announced in a press release that Taiwan will adopt IFRS 18 in 2028.

A. IFRS 10 "Consolidated Financial Statements" and IAS 28 "Investments in Associates and Joint Ventures" — Sale or Contribution of Assets between an Investor and its Associate or Joint Ventures

The amendments address the inconsistency between the requirements in IFRS 10 *Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures*, in dealing with the loss of control of a subsidiary that is contributed to an associate or a joint venture. IAS 28 restricts gains and losses arising from contributions of non-monetary assets to an associate or a joint venture to the extent of the interest attributable to the other equity holders in the associate or joint ventures. IFRS 10 requires full profit or loss recognition on the loss of control of the subsidiary. IAS 28 was amended so that the gain or loss resulting from the sale or contribution of assets that constitute a business as defined in IFRS 3 between an investor and its associate or joint venture is recognized in full.

IFRS 10 was also amended so that the gains or loss resulting from the sale or contribution of a subsidiary that does not constitute a business as defined in IFRS 3 between an investor and its associate or joint venture is recognized only to the extent of the unrelated investors' interests in the associate or joint venture.

B. IFRS 18 "Presentation and Disclosure in Financial Statements"

IFRS 18 replaces IAS 1 Presentation of Financial Statements. The main changes are as below:

(a) Improved comparability in the statement of profit or loss (income statement)
IFRS 18 requires entities to classify all income and expenses within their statement of profit or loss into one of five categories: operating; investing; financing; income taxes; and discontinued operations. The first three categories are new, to improve the structure of the income statement, and requires all entities to provide new defined subtotals, including operating profit or loss. The improved structure and new subtotals will give investors a consistent starting point for analyzing entities' performance and make it easier to compare entities.

(b) Enhanced transparency of management-defined performance measures
IFRS 18 requires entities to disclose explanations of those entity-specific measures that are related to the income statement, referred to as management-defined performance measures.

(c) Useful grouping of information in the financial statements
IFRS 18 sets out enhanced guidance on how to organize information and whether to provide it in the primary financial statements or in the notes. The changes are expected to provide more detailed and useful information. IFRS 18 also requires entities to provide more transparency about operating expenses, helping investors to find and understand the information they need.

C. Disclosure Initiative—Subsidiaries without Public Accountability: Disclosures (IFRS 19)

This new standard and its amendments permit subsidiaries without public accountability to provide reduced disclosures when applying IFRS Accounting Standards in their financial statements. IFRS 19 is optional for subsidiaries that are eligible and sets out the disclosure requirements for subsidiaries that elect to apply it.

D. Translation to a Hyperinflationary Presentation Currency (Amendments to IAS 21 and IAS 29)

The amendments include:

(a) Clarify that when the entity's functional currency is that of a non-hyperinflationary economy but its presentation currency is the currency of a hyperinflationary economy, the entity shall translate its results and financial position using the closing rate at the date of the most recent statement of financial position.
(b) In the above circumstances, when the presentation currency ceases to be hyperinflationary economy, the entity shall not retranslate amounts that arose before the beginning of the reporting period.
(c) When the entity's functional currency and presentation currency are the currency of a hyperinflationary economy, the entity shall apply the relevant accounting treatment in accordance with paragraph 34 of IAS 29.

The above standards or interpretations issued by IASB have not yet endorsed by FSC at the date when the Group's financial statements were authorized for issue, the local effective dates are to be determined by FSC. As the Group is still currently determining the potential impact of the new or amended standards and interpretations listed under (B), it is not practicable to estimate their impact on the Group at this point in time. The remaining new or amended standards and interpretations have no material impact on the Group.

4. Summary of Material Accounting Policies

(1) Statement of compliance

The consolidated financial statements of the Group for the years ended December 31, 2025 and 2024 have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers ("the Regulations") and International Financial Reporting Standards, International Accounting Standards, Interpretations developed by the International Financial Reporting Interpretations Committee or the former Standing Interpretations Committee as endorsed FSC.

(2) Basis of preparation

The consolidated financial statements have been prepared on a historical cost basis, except for financial instruments that have been measured at fair value. The consolidated financial statements are expressed in thousands of New Taiwan Dollars ("NT$") unless otherwise stated.

(3) Basis of consolidation

Preparation principle of consolidated financial statements

Control is achieved when ANDES is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, ANDES controls an investee if and only if ANDES has:

A. power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
B. exposure, or rights, to variable returns from its involvement with the investee; and
C. the ability to use its power over the investee to affect its returns.

When ANDES has less than a majority of the voting or similar rights of an investee, ANDES considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

A. the contractual arrangement with the other vote holders of the investee;
B. rights arising from other contractual arrangements; and (or)
C. ANDES' voting rights and potential voting rights.

ANDES re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

Subsidiaries are fully consolidated from the acquisition date, being the date on which Andes obtains control, and continue to be consolidated until the date that such control ceases. The financial statements of the subsidiaries are prepared for the same reporting period as the parent company, using uniform accounting policies. All intra-group balances, income and expenses, unrealized gains and losses and dividends resulting from intra-group transactions are eliminated in full.

A change in the ownership interest of a subsidiary, without a change of control, is accounted for as an equity transaction.

Total comprehensive income of the subsidiaries is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

If loses control of a subsidiary, it:

A. derecognizes the assets (including goodwill) and liabilities of the subsidiary.
B. derecognizes the carrying amount of any non-controlling interest.
C. recognizes the fair value of the consideration received.
D. recognizes the fair value of any investment retained.
E. reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss, or transfer directly to retained earnings if required by other IFRS; and
F. recognizes any resulting difference in profit or loss.

The consolidated entities are listed as follows:

			Percentage of Ownership		
Investor	Subsidiary	Business nature	December 31, 2025	December 31, 2024	Note
ANDES	Andes Technology (Samoa) Corporation	Investment holding	100%	100%	
ANDES	Andes Technology USA Corporation	R&D, licensing CPU IP and providing related services	100%	100%	
ANDES	Condor Computing Corporation	R&D, licensing CPU IP and providing related services	100%	100%	
ANDES	Andes Technology Canada Corporation	R&D, licensing CPU IP and providing related services	100%	100%	
ANDES	Andes Technology Europe GmbH	Licensing CPU IP and providing related services	100%	100%	(Note)
Andes Technology (Samoa) Corporation	Andes Technology (Wuhan) Corporation	Licensing CPU IP and providing related services	100%	100%	
Andes Technology (Samoa) Corporation	Andes Shanghai Technology Corporation	Licensing CPU IP and providing related services	100%	100%	

Note： ANDES established Andes Technology Europe GmbH in May 2024.

(4) Foreign currency transactions

The Group's consolidated financial statements are presented in NT$, which is also the parent company's functional currency. Each entity in the Group determines its functional currency, and items included in the financial statements of each entity are measured using that functional currency.

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency rates prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency closing rate of exchange ruling at the reporting date. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. Non-monetary items that are measured at historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

All exchange differences arising on the settlement of monetary items or on translating monetary items are taken to profit or loss in the period in which they arise except for the following:

A. exchange differences arising from foreign currency borrowings for an acquisition of a qualifying asset to the extent that they are regarded as an adjustment to interest costs are included in the borrowing costs that are eligible for capitalization.
B. foreign currency items within the scope of IFRS 9 Financial Instruments are accounted for based on the accounting policy for financial instruments.
C. exchange differences arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation are recognized initially in other comprehensive income and reclassified from equity to profit or loss on disposal of the net investment.

When a gain or loss on a non-monetary item is recognized in other comprehensive income, any exchange component of that gain or loss is recognized in other comprehensive income. When a gain or loss on a non-monetary item is recognized in profit or loss, any exchange component of that gain or loss is recognized in profit or loss.

(5) Translation of financial statements in foreign currency

The assets and liabilities of foreign operations are translated into New Taiwan Dollars at the closing rate of exchange prevailing at the reporting date and their income and expenses are translated at an average rate for the period. The exchange differences arising on the translation are recognized in other comprehensive income. On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognized in other comprehensive income and accumulated in the separate component of equity, is reclassified from equity to profit or loss when the gain or loss on disposal is recognized. On the partial disposal of foreign operations that result in a loss of control, loss of significant influence or joint control but retaining partial equity is considered a disposal.

On the partial disposal of a subsidiary that includes a foreign operation that does not result in a loss of control, the proportionate share of the cumulative amount of the exchange differences recognized in other comprehensive income is re-attributed to the non-controlling interests in that foreign operation. In partial disposal of an associate or joint arrangement that includes a foreign operation that does not result in a loss of significant influence or joint control, only the proportionate share of the cumulative amount of the exchange differences recognized in other comprehensive income is reclassified to profit or loss.

Any goodwill and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and expressed in its functional currency.

(6) Current and non-current distinction

An asset is classified as current when:

A. the Group expects to realize the asset, or intends to sell or consume it, in its normal operating cycle.
B. the Group holds the asset primarily for the purpose of trading.
C. the Group expects to realize the asset within twelve months after the reporting period.
D. the asset is cash or cash equivalent unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

A liability is classified as current when:

A. the Group expects to settle the liability in its normal operating cycle.
B. the Group holds the liability primarily for the purpose of trading.
C. the liability is due to be settled within twelve months after the reporting period.
D. the Group does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

(7) Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, demand deposits and short-term, highly liquid time deposits (including those with contract terms of less than six months) or investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(8) Financial instruments

Financial assets and financial liabilities are recognized when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities within the scope of IFRS 9 *Financial Instruments* are recognized initially at fair value plus or minus, in the case of investments not at fair value through profit or loss, directly attributable transaction costs.

A. Financial instruments: Recognition and Measurement

The Group accounts for regular way purchase or sale of financial assets on the trade date.

The Group classifies financial assets as subsequently measured at amortized cost or fair value through profit or loss considering both factors below :

(a) the Group’s business model for managing the financial assets and
(b) the contractual cash flow characteristics of the financial asset.

Financial assets measured at amortized cost

A financial asset is measured at amortized cost if both of the following conditions are met and presented as trade receivables, financial assets measured at amortized cost and other receivables etc., on balance sheet as at the reporting date:

(a) the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and
(b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Such financial assets are subsequently measured at amortized cost and are not part of a hedging relationship. A gain or loss is recognized in profit or loss when the financial asset is derecognized, through the amortization process or in order to recognize the impairment gains or losses.

Interest revenue is calculated by using the effective interest method. This is calculated by applying the effective interest rate to the gross carrying amount of a financial asset except for:

(a) purchased or originated credit-impaired financial assets. For those financial assets, the Group applies the credit-adjusted effective interest rate to the amortized cost of the financial asset from initial recognition.
(b) financial assets that are not purchased or originated credit-impaired financial assets but subsequently have become credit-impaired financial assets. For those financial assets, the Group applies the effective interest rate to the amortized cost of the financial asset in subsequent reporting periods.

Financial assets at fair value through profit or loss

Financial assets were classified as measured at amortized cost based on aforementioned criteria. All other financial assets were measured at fair value through profit or loss and presented on the balance sheet as financial assets measured at fair value through profit or loss.

Such financial assets are measured at fair value, the gains or losses resulting from remeasurement is recognized in profit or loss which includes any dividend or interest received on such financial assets.

B. Impairment of financial assets

The Group recognizes a loss allowance for expected credit losses on financial assets measured at amortized cost. The loss allowance on debt instrument investments measured at fair value through other comprehensive income is recognized in other comprehensive income and does not reduce the carrying amount in the balance sheet.

The Group measures expected credit losses of a financial instrument in a way that reflects:

(a) an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
(b) the time value of money; and
(c) reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The loss allowance is measured as follows:

(a) at an amount equal to 12-month expected credit losses: the credit risk on a financial asset has not increased significantly since initial recognition or the financial asset is determined to have low credit risk at the reporting date. In addition, the Group measures the loss allowance at an amount equal to lifetime expected credit losses in the previous reporting period but determines at the current reporting date that the credit risk on a financial asset has increased significantly since initial recognition is no longer met.
(b) at an amount equal to the lifetime expected credit losses: the credit risk on a financial asset has increased significantly since initial recognition or financial asset that is purchased or originated credit-impaired financial asset.
(c) for trade receivables or contract assets arising from transactions within the scope of IFRS 15, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

At each reporting date, the Group needs to assess whether the credit risk on a financial asset has increased significantly since initial recognition by comparing the risk of a default occurring at the reporting date and the risk of default occurring at initial recognition. Please refer to Note 12 for further details on credit risk.

C. Derecognition of financial assets

A financial asset is derecognized when:

(a) the rights to receive cash flows from the asset have expired.
(b) the Group has transferred the asset and substantially all the risks and rewards of the asset have been transferred.
(c) the Group has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

On derecognition of a financial asset in its entirety, the difference between the carrying amount and the consideration received or receivable including any cumulative gain or loss that had been recognized in other comprehensive income, is recognized in profit or loss.

D. Financial liabilities and equity

Classification between liabilities or equity

The Group classifies the instrument issued as a financial liability or an equity instrument in accordance with the substance of the contractual arrangement and the definitions of a financial liability, and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. The transaction costs of an equity transaction are accounted for as a deduction from equity to the extent they are incremental costs directly attributable to the equity transaction that otherwise would have been avoided.

Compound instruments

The Group evaluates the terms of the convertible bonds issued to determine whether it contains a liability, the embedded derivative, and an equity component. Furthermore, the Group assesses if the economic characteristics and risks of the call option contained in the convertible bonds are closely related to the economic characteristics and risk of the host contract before separating the equity element.

For the embedded derivative that is not closely related to the host contract (for example, if the exercise price of the embedded call option is not approximately equal on each exercise date to the amortized cost of the host debt instrument), it is classified as an asset or liability component according to its characteristics unless it qualifies for an equity component, and subsequently measured at fair value through profit or loss; the equity component is assigned the residual amount after deducting from the fair value of the convertible bond the amounts separately determined for the asset and liability components. Its carrying amount is not remeasured in the subsequent accounting periods.

Transaction costs are apportioned among the asset, liability and equity components of the convertible bond based on the allocation of proceeds to the components when the instruments are initially recognized.

On conversion of a convertible bond before maturity, the carrying amount of the asset and liability components being the amortized costs at the date of conversion are transferred to equity.

Financial liabilities

Financial liabilities within the scope of IFRS 9 *Financial Instruments* are classified as financial liabilities measured at amortized cost upon initial recognition.

Financial liabilities at amortized cost

Financial liabilities measured at amortized cost include interest bearing loans and borrowings that are subsequently measured using the effective interest rate method after initial recognition. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the effective interest rate method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or transaction costs.

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified (whether or not attributable to the financial difficulty of the debtor), such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognized in profit or loss.

E. Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount reported in the balance sheet if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

(9) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

A. in the principal market for the asset or liability, or
B. in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant’s ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques which are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

(10) Inventories

Inventories are valued at lower of cost and net realizable value item by item.

Inventory costs include costs incurred in bringing each inventory to its present location and condition:

Raw materials – valued at purchase cost and calculated by the weighted-average method.

Finished goods and work in progress – including costs of direct materials and manufacturing overheads, calculated by the weighted-average method.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Rendering of services is accounted in accordance with IFRS 15 and not within the scope of inventories.

(11) Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of dismantling and removing the item and restoring the site on which it is located and borrowing costs for construction in progress if the recognition criteria are met. Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. When significant parts of property, plant and equipment are required to be replaced in intervals, the Group recognizes such parts as individual assets with specific useful lives and depreciation, respectively. The carrying amount of those parts that are replaced is derecognized in accordance with the derecognition provisions of IAS 16 *Property, Plant and Equipment*. When a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in profit or loss as incurred.

Depreciation is calculated on a straight-line basis over the estimated economic lives of the following assets:

Buildings	10~50 years
Computer and telecommunication equipment	3 years
Test equipment	3~5 years
Office equipment	3~7 years
Leasehold improvements	3~10 years

An item of property, plant and equipment and any significant part initially recognized is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is recognized in profit or loss.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate, and are treated as changes in accounting estimates.

(12)Leases

The Group assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset for a period of time, the Group assesses whether, throughout the period of use, it has both of the following:

A. the right to obtain substantially all of the economic benefits from use of the identified asset; and
B. the right to direct the use of the identified asset.

For a contract that is, or contains, a lease, the Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract. For a contract that contains a lease component and one or more additional lease or non-lease components, the Group allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. The relative stand-alone price of lease and non-lease components shall

be determined on the basis of the price the lessor, or a similar supplier, would charge the Group for that component, or a similar component, separately. If an observable stand-alone price is not readily available, the Group estimates the stand-alone price, maximising the use of observable information.

Group as a lessee

Except for leases that meet and elect short-term leases or leases of low-value assets, the Group recognizes right-of-use asset and lease liability for all leases which the Group is the lessee of those lease contracts.

At the commencement date, the Group measures the lease liability at the present value of the lease payments that are not paid at that date. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses it's incremental borrowing rate. At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:

A. fixed payments (including in-substance fixed payments), less any lease incentives receivable;
B. variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
C. amounts expected to be payable by the lessee under residual value guarantees;
D. the exercise price of a purchase option if the Group is reasonably certain to exercise that option; and
E. payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease.

After the commencement date, the Group measures the lease liability on an amortised cost basis, which is increasing the carrying amount to reflect interest on the lease liability by using an effective interest method; and reducing the carrying amount to reflect the lease payments made.

At the commencement date, the Group measures the right-of-use asset at cost. The cost of the right-of-use asset comprises:

A. the amount of the initial measurement of the lease liability;
B. any lease payments made at or before the commencement date, less any lease incentives received;
C. any initial direct costs incurred by the lessee; and
D. an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease.

For subsequent measurement of the right-of-use asset, the Group measures the right-of-use asset at cost less any accumulated depreciation and any accumulated impairment losses. That is, the Group measures the right-of-use asset applying a cost model.

If the lease transfers ownership of the underlying asset to the Group by the end of the lease term or if the cost of the right-of-use asset reflects that the Group will exercise a purchase option, the Group depreciates the right-of-use asset from the commencement date to the end of the useful life of the underlying asset. Otherwise, the Group depreciates the right-of-use asset from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

The Group applies IAS 36 *Impairment of Assets* to determine whether the right-of-use asset is impaired and to account for any impairment loss identified.

Except for leases that meet and elect short-term leases or leases of low-value assets, the Group presents right-of-use assets and lease liabilities in the balance sheet and presents interest expense separately from the depreciation charge associated with those leases in the statement of comprehensive income.

For short-term leases or leases of low-value assets, the Group elects to recognize the lease payments associated with those leases as an expense on either a straight-line basis over the lease term or another systematic basis.

(13) Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses, if any. Internally

generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in profit or loss for the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite useful lives are amortized over the useful lives and assessed for impairment whenever there is an indication that the intangible assets may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at the end of each fiscal year. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and is treated as changes in accounting estimates.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite useful life is reviewed annually to determine whether the indefinite useful life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss.

Development costs - research and development costs

Research costs are expensed as incurred. Development expenditures, on an individual project, are recognized as an intangible asset when the Group can demonstrate:

A. the technical feasibility of completing the intangible asset so that it will be available for use or sale;
B. its intention to complete and its ability to use or sell the asset;
C. how the asset will generate future economic benefits;
D. the availability of resources to complete the asset; and
E. the ability to measure the expenditure reliably during development.

Following initial recognition of the development expenditure as an asset, the cost model is applied to require the asset to be carried at cost less any accumulated amortization and accumulated impairment losses. During the period of development, the asset is tested for impairment annually. Amortization of the asset begins when development is complete, and the asset is available for use. It is amortized over the period of estimated useful life.

The Group's intangible assets are amortized on a straight-line basis over the estimated useful life as follows:

Computer software	1～3 years
Technologies	3～5 years

The Group's intangible assets accounting policies information is summarized as follows:

	Computer software	Technologies
Useful lives	Finite	Finite
Amortization method used	Amortized on a straight-line basis over the estimated useful life	Amortized on a straight-line basis over the estimated useful life
Internally generated or acquired	Acquired externally	Internally generated

(14) Impairment of non-financial assets

The Group assesses at the end of each reporting period whether there is any indication that an asset in the scope of IAS 36 *Impairment of Assets* may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's ("CGU") fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been an increase in the estimated service potential of an asset which in turn increases the recoverable amount. However, the reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years.

A CGU, or groups of CGUs, to which goodwill has been allocated is tested for impairment annually at the same time, irrespective of whether there is any indication of impairment. If an impairment loss is to be recognized, it is first allocated to reduce the carrying amount of any goodwill allocated to the CGU (group of units), then to the other assets of the unit (group of units) pro rata on the basis of the carrying amount of each asset in the unit (group of units). Impairment losses relating to goodwill cannot be reversed in future periods for any reason.

An impairment loss of continuing operations or a reversal of such impairment loss is recognized in profit or loss.

(15) Revenue recognition

The Group's revenues arising from contracts with customers are primarily related to licensing of CPU IP, rendering of maintenance services and royalty revenues. The accounting policies are explained as follows:

Licensing of CPU IP

When a promised CPU IP is licensed to a customer, the customer can direct the use of, and obtain substantially all of the remaining benefits from the license. The nature of the Group's promise is to provide a right to use the CPU IP at the point in time at which the license of the CPU IP is granted to the customer. Therefore, revenue is recognized when the control of the promised goods has been transferred to the customer. The consideration promised in the contract may vary such as the terms of deduction. The Group shall estimate an amount of variable consideration by using either the expected value method or the most likely amount method, depending on which method the Group expects to better predict the amount of consideration to

which it will be entitled. An amount of variable consideration is estimated only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur and when the uncertainty associated with the variable consideration is subsequently resolved. During the period specified in the contract, contract liabilities are recognized for the expected deductions.

For some of the contracts, the Group has transferred the goods to customers but does not have a right to an amount of consideration that is unconditional, these contacts should be presented as contract assets. In addition, in accordance with IFRS 9, the Group measures the loss allowance for a contract asset at an amount equal to the lifetime expected credit losses.

Rendering of maintenance services

In addition to a promise to grant licenses to a customer, the Group may also promise to transfer maintenance services to a customer. Maintenance services include support and enhancements on delivered CPU IPs or developing tools. As the maintenance services and CPU IPs are not highly interdependent or highly interrelated, they are identified as separate performance obligations. The transaction price is allocated to each performance obligation on a relative stand-alone selling price basis. Revenues of maintenance services are recognized on a straight-line basis over the contract period.

For some rendering of maintenance services, part of the consideration was received from customers upon signing the contract, and the Group has the obligation to provide the services subsequently; accordingly, these amounts are recognized as contract liabilities.

The period between the transfers of contract liabilities to revenue is usually within one year, thus, no significant financing component is arisen.

Royalty revenues

Sales-based royalties on CPU IPs licenses are recognized when subsequent sale occurs.

(16) Post-employment benefits

For the defined contribution plan, ANDES and its domestic subsidiaries will make a monthly contribution of no less than 6% of the monthly wages of the employees subject to the plan. ANDES recognizes expenses for the defined contribution plan in the period in which the contribution becomes due. Overseas subsidiaries make contribution to the plan based on the requirements of local regulations.

(17) Income taxes

Income tax expense (benefit) is the aggregate amount included in the determination of profit or loss for the period in respect of current tax and deferred tax.

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the end of the reporting period. Current income tax relating to items recognized in other comprehensive income or directly in equity is recognized in other comprehensive income or equity and not in profit or loss.

The income tax for undistributed earnings is recognized as income tax expense in the subsequent year when the distribution proposal is approved by the shareholders' meeting.

Deferred tax

Deferred tax is provided on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

A. where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination; at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.

B. in respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax credits and unused tax losses can be utilized, except:

A. where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination; at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.
B. in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date. The measurement of deferred tax assets and deferred tax liabilities reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities. Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity. Deferred tax assets are reassessed at each reporting date and are recognized accordingly.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

According to the temporary exception in the International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12), information about deferred tax assets and liabilities related to Pillar Two income tax will neither be recognized nor be disclosed.

5. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the Group's consolidated financial statements require management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Judgement

In the process of applying the Group's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognized in the consolidated financial statements:

An intangible asset arising from development costs

The Group assessed that certain internally generated intangible assets have attained technical feasibility and will be available for use or sale. The assessment was mainly based on the fact that the Group possessed matured technology, resources, clear judgment of development timelines and product specifications for those development projects. The Group also assessed that those assets would generate future economic benefits and the benefits will exceed costs input.

The Group capitalizes development phase expenditures only when all the capitalization criteria are met.

6. Contents of Significant Accounts

(1) Cash and cash equivalents

	December 31, 2025	December 31, 2024
Petty cash	$25	$25
Checking and savings accounts	564,703	456,166
Time deposits	724,860	1,211,397
Reverse repurchase agreements-corporate bonds	130,000	415,138
Total	$1,419,588	$2,082,726

(2) Financial assets measured at amortized cost, current

	December 31, 2025	December 31, 2024
Time deposits	$224,100	$-

The Group classified certain financial assets as financial assets measured at amortized cost. The financial assets measured at amortized cost were not pledged. Please refer to Note 12 for more details on credit risk.

(3) Trade receivables

	December 31, 2025	December 31, 2024
Trade receivables	$329,863	$227,146
Less: allowance	(24,333)	(3,245)
Total	$305,530	$223,901

Trade receivables were not pledged.

Trade receivables are generally on 30-75 day terms. Please refer to Note 6(13) for more details on impairment of trade receivables for the years ended December 31, 2025 and 2024. Please refer to Note 12 for credit risk disclosure.

(4) Inventories

	December 31, 2025	December 31, 2024
Finished goods	$3,733	$3,214
Work in progress	119	-
Raw materials	762	657
Total	$4,614	$3,871

For the year ended December 31, 2025, the cost of inventories recognized in expenses amounted to NT$1,017 thousand, including the reversal of write-down of inventories NT$194 thousand.

For the year ended December 31, 2024, the cost of inventories recognized in expenses amounted to NT$646 thousand, including the reversal of write-down of inventories NT$155 thousand.

Inventories were not pledged.

(5) Property, plant and equipment

	December 31, 2025	December 31, 2024
Owner occupied property, plant and equipment	$1,291,025	$130,982

	Land	Buildings	Computer and telecommunication equipment	Test equipment	Office equipment	Leasehold improvements	Total
Cost:							
As of January 1, 2025	$-	$-	$65,969	$101,187	$19,406	$25,400	$211,962
Additions	-	-	499	12,833	2,684	-	16,016
Disposals	-	-	(1,849)	(4,647)	-	(4,551)	(11,046)
Transfer (Note)	717,331	476,205	-	-	-	-	1,193,536
Exchange differences	-	-	-	-	(703)	-	(703)
As of December 31, 2025	$717,331	$476,205	$64,620	$109,373	$21,387	$20,849	$1,409,765

	Land	Buildings	Computer and telecommunication equipment	Test equipment	Office equipment	Leasehold improvements	Total
As of January 1, 2024	$-	$-	$66,261	$35,240	$15,243	$25,878	$142,622
Additions	-	-	859	1,261	3,538	-	5,658
Disposals	-	-	(1,151)	(2,012)	(265)	(492)	(3,920)
Transfer	-	-	-	66,698	-	-	66,698
Exchange differences	-	-	-	-	890	14	904
As of December 31, 2024	$-	$-	$65,969	$101,187	$19,406	$25,400	$211,962
Depreciation and impairment:							
As of January 1, 2025	$-	$-	$34,670	$22,958	$7,895	$15,457	$80,980
Depreciation	-	4,411	16,354	20,235	3,605	4,427	49,032
Disposals	-	-	(1,848)	(4,647)	-	(4,551)	(11,046)
Exchange differences	-	-	-	-	(226)	-	(226)
As of December 31, 2025	$-	$4,411	$49,176	$38,546	$11,274	$15,333	$118,740
As of January 1, 2024	$-	$-	$19,268	$11,520	$4,536	$10,822	$46,146
Depreciation	-	-	16,553	13,450	3,327	5,113	38,443
Disposals	-	-	(1,151)	(2,012)	(265)	(492)	(3,920)
Exchange differences	-	-	-	-	297	14	311
As of December 31, 2024	$-	$-	$34,670	$22,958	$7,895	$15,457	$80,980
Net carrying amount as of:							
December 31, 2025	$717,331	$471,794	$15,444	$70,827	$10,113	$5,516	$1,291,025
December 31, 2024	$-	$-	$31,299	$78,229	$11,511	$9,943	$130,982

(Note) In response to the long-term development plan, the Board of Directors passed a resolution on September 19, 2022, to purchase a pre-sale real estate contract with Yuchen Development Co., Ltd. (“Yuchen Development”). The real estate was accepted and completed in the third quarter of 2025 and has been reclassified from prepayments for land and buildings to property, plant, and equipment. For related information, please refer to Note 6(7).

Property, plant and equipment were not pledged.

(6) Intangible assets

	Development costs	Technologies	Computer software	Total
Cost:				
As of January 1, 2025	$1,216,589	$1,290,907	$129,781	$2,637,277
Additions-internally generated	1,137,669	-	-	1,137,669
Additions-acquired separately	-	-	108,761	108,761
Disposals	-	-	(127,422)	(127,422)
Transfers	(674,389)	674,389	-	-
As of December 31, 2025	$1,679,869	$1,965,296	$111,120	$3,756,285
As of January 1, 2024	$453,202	$1,311,448	$17,537	$1,782,187
Additions-internally generated	1,040,568	-	-	1,040,568
Additions-acquired separately	-	-	125,713	125,713
Disposals	-	(362,673)	(13,469)	(376,142)
Transfers	(277,181)	342,132	-	64,951
As of December 31, 2024	$1,216,589	$1,290,907	$129,781	$2,637,277
Amortization and impairment:				
As of January 1, 2025	$-	$619,792	$47,750	$667,542
Amortization	-	410,629	110,351	520,980
Disposals	-	-	(127,422)	(127,422)
As of December 31, 2025	$-	$1,030,421	$30,679	$1,061,100
As of January 1, 2024	$-	$637,701	$8,849	$646,550
Amortization	-	344,764	52,370	397,134
Disposals	-	(362,673)	(13,469)	(376,142)
As of December 31, 2024	$-	$619,792	$47,750	$667,542
Net carrying amount as of:				
December 31, 2025	$1,679,869	$934,875	$80,441	$2,695,185
December 31, 2024	$1,216,589	$671,115	$82,031	$1,969,735

The amortization amounts of intangible assets are as follows:

	For the years ended December 31,	
	2025	2024
Administrative expenses	$726	$806
Research and development expenses	$520,254	$396,328

(7) Other non-current assets

	December 31, 2025	December 31, 2024
Prepayments for land and buildings	$-	$294,844
Prepayments for construction	64,021	-
Prepaid tax	42,281	21,671
Long-term software usage fees and others	48	155
Total	$106,350	$316,670

In response to the purchase of the pre-sale real estate contract with Yuchen Development, the Company has paid NT$1,194,852 thousand and NT$294,844 thousand as of December 31, 2025 and 2024, respectively. The acceptance procedure was completed in the third quarter of 2025, and the prepayments for land and buildings were reclassified to property, plant, and equipment amounted to NT$1,193,536 thousand, and prepaid plant management fees amounted to NT$1,316 thousand.

(8) Financial assets at fair value through profit or loss – non-current

	December 31, 2025	December 31, 2024
Mandatorily measured at fair value through profit or loss:		
Embedded derivative		
A call option of bonds	$1,050	$-

(9) Bonds payable

	December 31, 2025	December 31, 2024
Unsecured domestic convertible bonds	$1,412,026	$-
Less: current portion	-	-
Net	$1,412,026	$-

A. Unsecured domestic convertible bonds

	December 31, 2025	December 31, 2024
Liability component:		
Principal amount	$1,500,000	$-
Less: discounts on bonds payable	(87,974)	-
Subtotal	1,412,026	-
Less: current portion	-	-
Net	$1,412,026	$-
Embedded derivative－a call option of bonds (Note 6(8))	$1,050	$-
Equity component (Note 6(11))	$113,199	$-

B. On September 8, 2025, the Company issued unsecured domestic convertible bonds with a 0% coupon. The convertible bonds were analyzed in accordance with contractual terms and were determined to comprise the following components: a liability, embedded derivatives (a issuer's call option) and an equity component (a conversion option into issuer's common shares). The key issuance terms are as follows:

Total issuance amount: NT$1,500,000 thousand, issued at 101% of the face value.
Issuance period: September 8, 2025 ~ September 8, 2028

Important redemption clauses:

(a) Starting from the day following the third month from the issuance of the convertible bonds (December 9, 2025) until fortieth day before maturity (July 30, 2028), if the closing price of the Company's common shares exceeds 30%

of the then-effective conversion price for thirty consecutive business days, the Company may, within the following thirty business days thereafter, issue a "Bond Redemption Notice" with a one-month maturity period to bondholders by registered mail. The redemption price shall be the face value of the convertible bonds, and the Company shall redeem all outstanding bonds in cash and announce the exercise of the Company's redemption right through Taipei Exchange. Upon execution of the redemption request, the Company shall redeem all outstanding convertible bonds in cash at face value within eight business days from the bond redemption base date.

(b) Starting from the day after third month after the issuance of the convertible bonds (December 9, 2025) until the fortieth day before maturity (July 30, 2028), if the outstanding principal amount of the convertible bonds is falls below 10% of the original issuance amount, the Company may, at any time thereafter, issue a "Bond Redemption Notice" with a thirty-day maturity period to bondholders by registered mail. The redemption price shall be the face value of the convertible bonds, and the Company shall redeem the bonds held by the bondholders in cash and announce the exercise of the Company's redemption right through Taipei Exchange. Upon execution of the redemption request, the Company shall redeem the bonds held by the bondholders in cash at face value within eight business days from the bond redemption base date.

(c) If the Company exercises the redemption request, the deadline for bondholders to request conversion shall be the second business day after the termination of the convertible bonds on Taipei Exchange.

Conversion method:

(a) Underlying securities: Common shares of the Company

(b) Exchange period: Bondholders may apply to convert the convertible bonds into the Company's common shares starting from the day following three months from the issuance date of the convertible bonds (December 9, 2025) until the maturity date (September 8, 2028), except during the following periods: (i) the period when the transfer of common shares is suspended by law; (ii) the period from fifteen business days before the suspension dates for the stock or cash dividends, or capital increases until the record date for distribution of shareholders; (iii) the period from the capital reduction record date to the day before the reissuance of shares for capital reduction; and (iv) the period from

the business day prior to the date the Company applies for a change in par value of shares that results in a suspension of conversions, to the business day before trading of the newly issued converted shares begins. Unless otherwise provided, bondholders may at any time apply for conversion through the original securities broker and the Taiwan Depository & Clearing Corporation, and the Company shall, in accordance with the prescribed procedures, issue common shares corresponding to the converted bonds.

The restriction in the preceding paragraph (i) regarding the suspension of transfer of common shares by law does not include the suspension periods for shareholder's meeting or extraordinary shareholder's meeting.

The starting date of the suspension of conversion due to the change in par value referred to in the first paragraph means the business day prior to the date of application for the change of registration with the Ministry of Economic Affairs.

The Company shall also announce the suspension period of conversion at least four business days prior to the starting date of suspension period.

(c) Conversion price and adjustment: The conversion price of the convertible bonds shall be determined based on the reference date of August 29, 2025. The reference price shall be the simple arithmetic average or the closing prices of the Company's common shares for the first business day prior to the reference date (excluding the reference date). The conversion price is then calculated by multiplying the reference price by a conversion premium rate of 108.83%, rounded to the nearest New Taiwan Dollars of dime (rounded down if less than five dime). In the event that ex-rights or ex-dividend adjustments occur on any of the above-mentioned days, the closing prices used to calculate the conversion price shall be adjusted accordingly to reflect to the ex-dividend or ex-rights values. Once the conversion price has been determined and prior to the actual issuance, if any ex-rights or ex-dividend events occur, the conversion price shall be adjusted in accordance with relevant regulations. Based on the abovementioned method, the conversion price shall be NT$308 per share.

(d) Redemption at maturity: If the convertible bonds remain unconverted at maturity, they shall be redeemed at par value.

Additionally, there had been no conversions of the Company's convertible bonds as of December 31, 2025.

(10) Post-employment benefits

Defined contribution plan

ANDES adopts a defined contribution plan in accordance with the Labor Pension Act of the R.O.C. ANDES has made monthly contributions of 6% of each individual employee's salaries or wages to employees' pension accounts.

Subsidiaries located in the People's Republic of China will contribute social welfare benefits based on a certain percentage of employees' salaries or wages to the employees' individual pension accounts.

Pension benefits for employees of foreign subsidiaries are provided in accordance with local regulations.

Pension expenses under the defined contribution plan for the years ended December 31, 2025 and 2024 were NT$51,939 thousand and NT$49,085 thousand, respectively.

(11) Equity

A. Common stock

ANDES' authorized capital as of December 31, 2025 and 2024 was NT$1,000,000 thousand and NT$700,000 thousand, respectively, divided into 100,000 thousand shares and 70,000 thousand shares, each at a par value of NT$10. ANDES' issued capital was NT$506,509 thousand divided into 50,651 thousand shares as of December 31, 2025 and 2024. Each share has one voting right and a right to receive dividends.

B. Capital surplus

	December 31, 2025	December 31, 2024
Additional paid-in capital	$4,094,282	$4,094,282
Employee stock options	1,774	1,774
Equity component of convertible bonds issued	113,199	-
Total	$4,209,255	$4,096,056

According to the Company Act, the capital surplus shall not be used except for making good the deficit of the Company. When a company incurs no loss, it may distribute the capital surplus related to the income derived from the issuance of new shares at a premium or income from endowments received by the company. The distribution could be made in cash or in the form of dividend shares to its shareholders in proportion to the number of shares being held by each of them.

C. Retained earnings and dividend policies

According to ANDES' Articles of Incorporation, current year's earnings, if any, shall be distributed in the following order:

(a) Reserve for tax payments
(b) Offset accumulated losses in previous years, if any
(c) Legal reserve, which is 10% of leftover profits. However, this restriction does not apply in the event that the amount of the accumulated legal reserve equals or exceeds ANDES' total capital stock.
(d) Allocation or reverse of special reserves as required by law or government authorities.
(e) The remaining net profits and the retained earnings from previous years will be allocated as shareholders' dividend. The Board of Directors will prepare a distribution proposal. When the distribution proposal is in the form of new shares to be issued by ANDES, it shall be submitted to the shareholders' meeting for review and approval by a resolution. When the distribution proposal be paid in cash after a resolution has been adopted by a majority vote at a meeting of the Board of Directors attended by two-thirds of the total number of directors, such distribution shall be reported to the shareholders' meeting.

According to Article 241 of the Company Act, ANDES may distribute its legal reserve and the capital reserve, in whole or in part, by issuing new shares which shall be distributable as dividend shares to its original shareholders in proportion to the number of shares being held by each of them or by cash. When the distribution proposal is paid in cash after a resolution has been adopted by a majority vote at a meeting of the Board of Directors attended by two-thirds of the total number of directors, such distribution shall be reported to the shareholders' meeting.

The policy of dividend distribution should reflect factors such as sustainable development, stable growth, the interest of the shareholders, and healthy financial structure as the goal. The Board of Directors shall make the distribution proposal according to funding needs. The dividends to shareholders shall be distributed at no lower than 2% of distributable earnings. If ANDES decides to issue dividends, cash dividends shall not be lower than 10% of the total dividends.

On March 9, 2026, the Board of Directors resolved the deficit compensation for the year 2025. Due to the deficits in 2025, no distribution of earnings was proposed.

Detail of the 2024 earnings distribution and dividends per share as resolved by the shareholders' meeting on May 29, 2025 is as follows:

	Appropriation of earnings (In thousand NT dollars)	Dividends per share (NT dollars)
	2024	2024
Legal reserve	$189	-
Cash dividends	-	$-

Please refer to Note 6(15) for information on the employees' compensation and remuneration to directors.

(12) Operating revenues

	For the year ended December 31, 2025	Percent of total revenues (%)	For the year ended December 31, 2024	Percent of total revenues (%)
Revenue from contracts with customers				
Licensing of CPU IP	$965,403	65	$924,824	67
Royalty revenues	282,337	19	283,797	21
Maintenance services	226,957	16	170,017	12
Others	3,490	-	2,869	-
Total	$1,478,187	100	$1,381,507	100

Analysis of revenues from contracts with customers for the years ended December 31, 2025 and 2024 is as follows:

A. Disaggregation of revenues

	For the years ended December 31,	
	2025	2024
Timing of revenue recognition:		
At a point in time	$1,251,230	$1,211,490
Over time	226,957	170,017
Total	$1,478,187	$1,381,507

B. Contract balances

(a) Contract assets, current

	December 31, 2025	December 31, 2024	January 1, 2024
Licensing of CPU IP	$156,612	$348,200	$227,381

Contract assets represent the amount that the Group has transferred CPU IPs to customers but not yet billed. Contract assets will be reclassified to trade receivables as the Group obtains an unconditional right to receive the consideration. The Group reclassified NT$311,106 thousand and NT$173,483 thousand of the beginning balance of contract assets to trade receivables during 2025 and 2024, respectively. Please refer to Note 6(13) for related impairment.

(b) Contract liabilities, current

	December 31, 2025	December 31, 2024	January 1, 2024
Maintenance services	$170,378	$125,755	$82,492
Licensing of CPU IP	22,755	-	-
Deductions	521	744	967
Total	$193,654	$126,499	$83,459

The significant changes in the Group's balances of contract liabilities for the years ended December 31, 2025 and 2024 are as follows:

	For the years ended December 31,	
	2025	2024
Revenue recognized during the period that was included in the beginning balance	$(120,196)	$(81,963)
Increase in receipt in advance during the period (deducting the amount incurred and transferred to revenue during the period)	$194,304	$122,493

(c) Contract Liabilities - non-current

	December 31, 2025	December 31, 2024	January 1, 2024
Maintenance services	$17,347	$16,275	$-

C. Assets recognized from costs to fulfil a contract: None.

(13) Expected credit losses

	For the years ended December 31,	
	2025	2024
Operating expenses – expected credit losses		
Trade receivables	$(23,453)	$(2,839)

Please refer to Note 12 for more details on credit risk.

The Group measures the loss allowance of contract assets and trade receivables at an amount equal to lifetime expected credit losses. The assessment of the Group's loss allowance as of December 31, 2025 and 2024 is as follows:

A. The loss allowance of contract assets is measured at expected credit loss rate, details are as follows:

	For the years ended December 31,	
	2025	2024
Gross carrying amount	$156,612	$348,200
Expected credit loss rate	-%	-%
Loss allowance	-	-
Total	$156,612	$348,200

B. The Group determines the grouping of trade receivables by considering counterparties' geographical regions and its loss allowance is measured by using a provision matrix. Details are as follows:

December 31, 2025

		Past due					
Group 1：	Not past due	<=60 days	61~120 days	121~180 days	181~360 days	>=361 days	Total
Gross carrying amount	$265,256	$8	$472	$-	$-	$-	$265,736
Loss ratio	-%	2%	8%	-%	-%	-%	
Lifetime expected credit losses	-	-	(38)	-	-	-	(38)
Subtotal	$265,256	$8	$434	$-	$-	$-	$265,698

		Past due					
Group 2：	Not past due	<=60 days	61~120 days	121~180 days	181~360 days	>=361 days	Total
Gross carrying amount	$23,604	$-	$7,351	$7,222	$24,945	$1,005	$64,127
Loss ratio	-%	-%	13%	33%	45-80%	100%	
Lifetime expected credit losses	-	-	(956)	(2,383)	(19,951)	(1,005)	(24,295)
Subtotal	$23,604	$-	$6,395	$4,839	$4,994	$-	$39,832
Carry amount of trade receivables							$305,530

December 31, 2024

		Past due					
Group 1：	Not past due	<=60 days	61~120 days	121~180 days	181~360 days	>=361 days	Total
Gross carrying amount	$144,169	$-	$2,295	$-	$-	$-	$146,464
Loss ratio	-%	-%	23%	-%	-%	-%	
Lifetime expected credit losses	-	-	(528)	-	-	-	(528)
Subtotal	$144,169	$-	$1,767	$-	$-	$-	$145,936

		Past due					
Group 2：	Not past due	<=60 days	61~120 days	121~180 days	181~360 days	>=361 days	Total
Gross carrying amount	$73,491	$35	$4,991	$-	$178	$1,987	$80,682
Loss ratio	-%	3%	13%	-%	45%	100%	
Lifetime expected credit losses	-	(1)	(649)	-	(80)	(1,987)	(2,717)
Subtotal	$73,491	$34	$4,342	$-	$98	$-	$77,965
Carry amount of trade receivables							$223,901

The movement in the provision for impairment of contract assets and trade receivables for the years ended December 31, 2025 and 2024 is as follows:

	Contract assets	Trade receivables
As of January 1, 2025	$-	$3,245
Addition for the current period	-	23,453
Write off	-	(3,140)
Effect of changes in exchange rate	-	775
As of December 31, 2025	$-	$24,333
As of January 1, 2024	$-	$5,898
Addition for the current period	-	2,839
Write off	-	(5,695)
Effect of changes in exchange rate	-	203
As of December 31, 2024	$-	$3,245

(14) Leases

A. The Group as a lessee

The Group leases various properties, including real estate such as buildings. The lease terms range from 2 to 10 years. There are no restrictions placed upon the Group by entering into these leases.

The Group's leases effect on the financial position, financial performance and cash flows are as follows:

(a) Amounts recognized in the balance sheet

I. Right-of-use assets

The carrying amount of right-of-use assets

	December 31, 2025	December 31, 2024
Buildings	$60,558	$85,786

For the years ended December 31, 2025 and 2024, the Group's addition to right-of-use assets amounted to NT$8,288 thousand and NT$9,769 thousand, respectively.

II. Lease liabilities

	December 31, 2025	December 31, 2024
Lease liabilities	$63,583	$88,599
Current	$28,876	$30,030
Non-current	$34,707	$58,569

Please refer to Note 6(16)D for the interest on lease liabilities recognized for the years ended December 31, 2025 and 2024, and refer to Note 12(5) Liquidity Risk Management for the maturity analysis for lease liabilities as of December 31, 2025 and 2024.

(b) Amounts recognized in the statement of comprehensive income

Depreciation charge for right-of-use assets

	For the years ended December 31,	
	2025	2024
Buildings	$32,867	$33,026

(c) Income and costs relating to leasing activities

	For the years ended December 31,	
	2025	2024
The expenses relating to short-term leases	$2,140	$1,350
The expenses relating to leases of low-value assets (not including the expenses relating to short-term leases of low-value assets)	$584	$729

(d) Cash outflows relating to leasing activities

For the years ended December 31, 2025 and 2024, the Group's total cash outflows for leases amounted to NT$39,780 thousand and NT$37,650 thousand, respectively.

(15) Summary statement of employee benefits, depreciation and amortization expenses by function

	For the years ended December 31					
	2025			2024		
	Operating costs	Operating expenses	Total	Operating costs	Operating expenses	Total
Employee benefits expense						
Salaries	$-	$640,848	$640,848	$-	$564,108	$564,108
Labor and health insurance	-	128,653	128,653	-	122,738	122,738
Pension	-	51,939	51,939	-	49,085	49,085
Others	-	10,802	10,802	-	11,158	11,158
Depreciation	-	81,899	81,899	-	71,469	71,469
Amortization	-	520,980	520,980	-	397,134	397,134

According to the Articles of Incorporation of ANDES, no lower than 2% of profit of the current year is distributable as employees' compensation (which includes no less than 2% allocated to non-managerial employees' compensation), and no higher than 1% of profit of the current year is distributable as remuneration to directors. However, ANDES' accumulated losses shall have been covered (if any). ANDES may have the profit distributable as employees' compensation and rank-and-file employees' compensation in the form of shares or in cash; and the distribution targets may include employees of subsidiaries who meet the criteria prescribed by the Board of Directors. Remuneration to directors shall be distributed in cash only. The distribution of the aforementioned employees' compensation and remuneration to directors shall be effected by a resolution adopted by a majority vote at the meeting of Board of Directors attended by two-thirds of the total number of directors, and a report of such distribution is submitted to the shareholders' meeting. Information on the Board of Directors' resolution regarding the employees' compensation and remuneration to directors can be obtained from the "Market Observation Post System" on the website of the TWSE.

ANDES based on a specific rate of profit to accrue the employees' compensation and remuneration to directors. Differences between the accrued amount and the actual distribution of the employees' compensation and remuneration to directors are recognized in profit or loss of the subsequent year. If the Board of Directors resolved to distribute employees' compensation in the form of stocks, then the number of stocks distributed as employees' compensation was calculated based on the closing price one day earlier than the date of resolution.

Due to deficits in 2025, no employee compensation and remuneration to directors were accrued.

A resolution was passed at the Board of Directors' meeting held on March 6, 2025 to distribute NT$173 thousand and NT$84 thousand in cash as employees' compensation and remuneration to directors for the year ended December 31, 2024, respectively. No material differences exist between the accrued amount and the actual distribution of the employee compensation and remuneration to directors for the year ended December 31, 2024.

(16) Non-operating income and expenses

A. Interest income

	For the years ended December 31,	
	2025	2024
Interest income		
Financial assets measured at amortized cost	$35,941	$105,953

B. Other income

	For the years ended December 31,	
	2025	2024
Others	$11,761	$23,983

C. Other gains and losses

	For the years ended December 31,	
	2025	2024
Foreign exchange (losses) gains, net	$(79,904)	$163,381
Financial assets measured at fair value through loss	(1,800)	-
Others	(11,200)	(2,661)
Total	$(92,904)	$160,720

D. Finance costs

	For the years ended December 31,	
	2025	2024
Interest expenses on bonds payable	$(10,065)	$-
Interest expenses on lease liabilities	(6,237)	(3,036)
Total	$(16,302)	$(3,036)

(17) Components of other comprehensive income

For the year ended December 31, 2025:

	Arising during the period	Reclassification adjustments during the period	Other comprehensive income, before tax	Income tax benefit	Other comprehensive income, net of tax
To be reclassified to profit or loss in subsequent periods:					
Exchange differences resulting from translating the financial statements of foreign operations	$(4,829)	$-	$(4,829)	$966	$(3,863)

For the year ended December 31, 2024:

	Arising during the period	Reclassification adjustments during the period	Other comprehensive income, before tax	Income tax expense	Other comprehensive income, net of tax
To be reclassified to profit or loss in subsequent periods:					
Exchange differences resulting from translating the financial statements of foreign operations	$9,923	$-	$9,923	$(1,985)	$7,938

(18) Income tax

The major components of income tax expense are as follows:

Income tax recognized in profit or loss

	For the years ended December 31,	
	2025	2024
Current income tax expense:		
Current income tax charge	$6,242	$6,688
Adjustments in respect of current income tax of prior periods	2,731	-
Deferred income tax expense (benefit):		
Deferred tax relating to origination and reversal of temporary differences	(20,580)	(721)
Deferred tax (income) expense relating to origination and reversal of tax loss	(54,479)	3,681
Income tax (income) expense	$(66,086)	$9,648

Income tax related to components of other comprehensive income

	For the years ended December 31,	
	2025	2024
Deferred tax income (expense) :		
Exchange differences resulting from translating the financial statements of foreign operations	$966	$(1,985)

A reconciliation between tax expense and the product of accounting profit multiplied by applicable tax rates is as follows:

	For the years ended December 31,	
	2025	2024
Accounting (loss) profit before tax from continuing operations	$(481,345)	$11,541
At ANDES's statutory income tax rate	$(96,269)	$2,308
Tax effect of deferred tax assets/liabilities	19,043	-
Recognition of different tax rates applicable to entities operating in other taxation region	4,491	2,542
Foreign taxes paid to the income origination countries	3,327	2,594
Adjustments in respect of current income tax of prior periods	2,731	2,204
Others	591	-
Income tax (income) expense recognized in profit or loss	$(66,086)	$9,648

Deferred tax assets (liabilities) related to the following:

For the year ended December 31, 2025

	Beginning balance	Recognized in profit or loss	Recognized in other comprehensive income	Ending balance
Temporary differences				
Investments accounted for using the equity method	$(2,691)	$1,725	$966	$-
Unrealized exchange gain or loss	(37,862)	37,862	-	-
Others	21,738	(21,738)	-	-
Unused tax losses	-	54,579	-	54,479
Deferred tax (expense)/income		$72,328	$966	
Net deferred tax assets/(liabilities)	$(18,815)			$54,479
Reflected in balance sheet as follows:				
Deferred tax assets	$21,738			$54,479
Deferred tax liabilities	$(40,553)			$-

For the year ended December 31, 2024

	Beginning balance	Recognized in profit or loss	Recognized in other comprehensive income	Ending balance
Temporary differences				
Investments accounted for using the equity method	$(706)	$-	$(1,985)	$(2,691)
Unrealized exchange gain or loss	(43,866)	6,004	-	(37,862)
Others	27,021	(5,283)	-	21,738
Unused tax losses	3,681	(3,681)	-	-
Deferred tax (expense)/income		$(2,960)	$(1,985)	
Net deferred tax assets/(liabilities)	$(13,870)			$(18,815)
Reflected in balance sheet as follows:				
Deferred tax assets	$30,702			$21,738
Deferred tax liabilities	$(44,572)			$(40,553)

A summary of the unused tax loss carry-forward of the entities in the Group is as follows:

Company name	Occurrence year	Accumulated losses	Unutilized accumulated losses December 31, 2025	Unutilized accumulated losses December 31, 2024	Expiration year
ANDES	2025 (Estimate)	$272,396	$272,396	$-	2035

As of December 31, 2025 and 2024, the subsidiaries' unused tax losses at their respective jurisdictions were NT$146,510 thousand and NT$174,747 thousand, respectively.

Unrecognized deferred tax assets

As of December 31, 2025 and 2024, the Group's unrecognized deferred tax assets were NT$21,202 thousand and nil, respectively.

The assessment of income tax returns

As of December 31, 2025, the assessment of the income tax returns of ANDES and its subsidiaries are as follows:

	The assessment of income tax returns
ANDES	Assessed and approved up to 2023
Subsidiary - Andes Technology (Wuhan) Corporation	Filed up to 2024
Subsidiary - Andes Shanghai Technology Corporation	Filed up to 2024
Subsidiary - Andes Technology USA Corporation	Filed up to 2024
Subsidiary - Condor Computing Corporation	Filed up to 2024
Subsidiary - Andes Technology Canada Corporation	Filed up to 2024

(19) Earnings per share

Basic earnings per share is calculated by dividing net profit for the year attributable to ordinary equity owners of the parent entity by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings per share is calculated by dividing the net profit attributable to ordinary equity owners of the parent entity by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

	For the years ended December 31,	
	2025	2024
(a) Basic earnings per share		
Profit (loss) attributable to ordinary equity owners of the parent (in thousand NT$)	$(415,259)	$1,893
Weighted average number of ordinary shares outstanding for basic (loss) earnings per share (in thousands)	50,651	50,651
Basic earnings per share (NT$)	$(8.20)	$0.04
(b) Diluted earnings per share		
Profit (loss) attributable to ordinary equity owners of the parent (in thousand NT$)	$(415,259)	$1,893
Weighted average number of ordinary shares outstanding for basic earnings per share (in thousands)	50,651	50,651
Effect of dilution:		
Employees' compensation-stock (in thousands)	-	-
Weighted average number of ordinary shares outstanding after dilution (in thousands)	50,651	50,651
Diluted earnings per share (NT$)	$(8.20)	$0.04

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date the financial statements were authorized for issue.

7. Related Party Transactions

Information of the related parties that had transactions with the Group during the financial reporting period is as follows:

(1) Key management personnel compensation

	For the years ended December 31,	
	2025	2024
Short-term employee benefits	$53,265	$48,302
Post-employment benefits	540	540
Total	$53,805	$48,842

8. Assets Pledged as Collateral

None

9. Significant Contingencies and Unrecognized Contractual Commitments

None

10. Losses due to Major Disasters

None

11. Significant Subsequent Events

None

12. Others

(1) Categories of financial instruments

Financial assets

	December 31, 2025	December 31, 2024
Financial assets at fair value through profit or loss:		
Mandatorily measured at fair value through profit or loss	$1,050	$-
Financial assets measured at amortized cost:		
Cash and cash equivalents (excluding petty cash)	$1,419,563	$2,082,701
Financial assets measured at amortized cost	224,100	-
Trade receivables	305,530	223,901
Other receivables	17,691	30,454
Refundable deposits	9,581	9,625
Subtotal	1,976,465	2,346,681
Total	$1,977,515	$2,346,681

Financial liabilities

	December 31, 2025	December 31, 2024
Financial liabilities at amortized cost:		
Trade payables	$3	$99
Other payables	181,690	196,146
Bonds payable	1,412,026	-
Lease liabilities	63,583	88,599
Deposits received	32	96
Total	$1,657,334	$284,940

(2) Financial risk management objectives and policies

The Group's principal financial risk management objective is to manage the market risk, credit risk and liquidity risk related to its operating activities. The Group identifies, measures and manages the aforementioned risks based on the Group's policy and risk tendency.

The Group has established appropriate policies, procedures and internal controls for financial risk management. The plans for material treasury activities are reviewed by the Board of Directors and the audit committee in accordance with relevant regulations and internal controls. The Group complies with its financial risk management policies at all times.

(3) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of the changes in market prices. Market risk comprises foreign currency risk and interest rate risk.

In practice, it is rarely the case that a single risk variable will change independently from other risk variables; there are usually interdependencies between risk variables. However, the sensitivity analysis disclosed below does not take into account the interdependencies between risk variables.

Foreign currency risk

The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenues or expenses are denominated in a different currency from the Group's functional currency) and the Group's net investments in foreign subsidiaries.

The Group has certain foreign currency receivables which are denominated in the same foreign currency with certain foreign currency payables, therefore natural hedge is applied. Furthermore, as net investments in foreign subsidiaries are for strategic purposes, they are not hedged by the Group.

The foreign currency sensitivity analysis of the possible change in foreign exchange rates on the Group's profit is performed on significant monetary items denominated in foreign currencies as of the end of the reporting period. The Group's foreign currency risk is mainly related to the volatility in the exchange rates for USD, CNY and CAD. The information of the sensitivity analysis is as follows:

When NTD appreciates or depreciates against USD by 1%, the profit for the years ended December 31, 2025 and 2024 decreases by NT$6,262 thousand and NT$16,918 thousand, respectively.

When NTD appreciates or depreciates against CNY by 1%, the profit for the years ended December 31, 2025 and 2024 decreases by NT$1,010 thousand and NT$1,006 thousand, respectively.

When NTD appreciates or depreciates against CAD by 1%, the profit for the years ended December 31, 2025 and 2024 decreases by NT$183 thousand and NT$152 thousand, respectively.

Interest rate risk

The Group's financial assets with exposure to cash flow risk due to fluctuating interest rates were mainly time deposits, with carrying amount of NT$948,960 thousand and NT$1,211,397 thousand as of December 31, 2025 and 2024, respectively. The contractual term was short-term and the interest rates were fixed, thus the cash flow risk of fluctuate interest is considerably insignificant.

(4) Credit risk management

Credit risk is the risk that counterparty will not meet its obligations under a contract, leading to a financial loss. The Group is exposed to credit risk from operating activities (primarily for contract assets and trade receivables) and from its financing activities, including bank deposits and other financial instruments.

Credit risk is managed by each business unit subject to the Group's established policy, procedures and controls relating to credit risk management. Credit limits are established for all counterparties based on their financial position, rating from credit rating agencies, historical experience, prevailing economic condition and the Group's

internal rating criteria, etc. Certain counterparties' credit risk will also be managed by taking credit enhancement procedures, such as requesting for prepayment.

As of December 31, 2025 and 2024, contract assets and trade receivables from top ten customers represented 46.61% and 42.71% of the total contract assets and trade receivables of the Group, respectively. The credit concentration risk of other contract assets and trade receivables was insignificant.

Credit risk from balances with banks, fixed income securities and other financial instruments is managed by the Group's treasury in accordance with the Group's policy. The Group only transacts with counterparties approved by the internal control procedures, which are banks and financial institutions, companies and government entities with good credit rating. Consequently, there is no significant credit risk for these counterparties.

The Group adopted IFRS 9 to assess the expected credit losses. Except for the loss allowance of contract assets and trade receivables which is measured at lifetime expected credit losses, for debt instrument investments which are not measured at fair value through profit or loss and are at low credit risk upon acquisition, an assessment is made at each reporting date as to whether the credit risk has substantially increased in order to determine the method of measuring the loss allowance and the loss ratio. The measurement indicators of the Group are described as follows:

			Gross carrying amount as of	
Level of credit risk	Indicator	Measurement method for expected credit losses	December 31, 2025	December 31, 2024
Low credit risk	Financial institutions with good credit rating	12-month expected credit losses	$-	$-
Simplified approach (Note)	(Note)	Lifetime expected credit losses	$486,475	$575,346

Note: The Group adopted simplified approach (lifetime expected credit loss) to measure credit risk. It includes contract assets and trade receivables.

(5) Liquidity risk management

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of cash and cash equivalents. The table below summarizes the maturity profile of the Group's financial liabilities based on the contractual undiscounted payments and contractual maturity. The payment amount includes the contractual interest. The undiscounted payment relating to borrowings with variable interest rates is extrapolated based on the estimated interest rate yield curve as of the end of the reporting period.

Non-derivative financial liabilities

	Less than 1 year	1 to 3 years	4 to 5 years	More than 5 years	Total
December 31, 2025					
Trade payables	$3	$-	$-	$-	$3
Other payables	181,690	-	-	-	181,690
Bonds payable	-	1,500,000	-	-	1,500,000
Lease liabilities	32,763	35,195	-	-	67,958
Deposits received	-	32	-	-	32
December 31, 2024					
Trade payables	$99	$-	$-	$-	$99
Other payables	196,146	-	-	-	196,146
Lease liabilities	34,442	49,941	10,560	-	94,943
Deposits received	-	96	-	-	96

(6) Reconciliation of liabilities from financing activities

Reconciliation of liabilities for the year ended December 31, 2025:

	Bonds payable	Lease liabilities	Deposits received	Total
As of January 1, 2025	$-	$88,599	$96	$88,695
Cash flows	1,515,000	(34,653)	(64)	1,480,283
Non-cash changes				

(to be continued)

	Bonds payable	Lease liabilities	Deposits received	Total
Interest expenses on bonds payable	10,065	-	-	10,065
Allocation of the liability and equity components	(110,349)	-	-	(110,349)
Additions of lease liabilities	-	8,288	-	8,288
Bond issuance costs	(2,690)	-	-	(2,690)
Effect of changes in exchange rate	-	1,349	-	1,349
As of December 1, 2025	$1,412,026	$63,583	$32	$1,475,641

Reconciliation of liabilities for the year ended December 31, 2024:

	Lease liabilities	Deposits received	Total
As of January 1, 2024	$110,620	$-	$110,620
Cash flows	(32,535)	96	(32,439)
Non-cash changes			
Additions of lease liabilities	9,769	-	9,769
Effect of changes in exchange rate	744	-	744
As of December 1, 2024	$88,598	$96	$88,694

(7) Fair value of financial instruments

The methods and assumptions applied in determining the fair value of financial instruments:

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The following methods and assumptions were used by the Group to measure or disclose the fair values of financial assets and financial liabilities:

The carrying amount of cash and cash equivalents, financial assets measured at amortized cost, trade receivables, trade payables and other payables approximate their fair value due to their short maturities.

(8) Fair value measurement hierarchy

A. Fair value measurement hierarchy

All asset and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement as a whole. Level 1, 2 and 3 inputs are described as follows:

Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities that the entity can access at the measurement date.
Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3 – Unobservable inputs for the asset or liability.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

B. Fair value measurement hierarchy of the Group's assets and liabilities

The Group does not have assets that are measured at fair value on a non-recurring basis. Fair value measurement hierarchy of the Group's assets and liabilities measured at fair value on a recurring basis is as follows:

As of December 31, 2025

	Level 1	Level 2	Level 3	Total
Financial assets:				
Financial assets at fair value through profit or loss				
Embedded derivative-a call option of bonds	$-	$-	$1,050	$1,050

As of December 31, 2024: None

Movements of fair value measurement in level 3 on recurring basis

	Assets
	At fair value through profit or loss
	Derivatives
Beginning balances as of January 1, 2025	$-
Amount recognized in profit or loss (presented in "other loss")	(1,800)
Issuance of 2025	2,850
Ending balances as of December 31, 2025	$1,050

From January 1 to December 31, 2024: None

Information on significant unobservable inputs to valuation

Description of significant unobservable inputs to valuation of recurring fair value measurements categorized within Level 3 of the fair value hierarchy is as follows:

As of December 31, 2025

	Valuation techniques	Significant unobservable inputs	Quantitative information	Relationship between inputs and fair value	Sensitivity analysis of the input to fair value
Financial assets:					
At fair value through profit or loss					
Embedded derivatives-a call option of bonds	Option pricing model	Volatility	45.41%	The higher the volatility, the higher the fair value of the embedded derivatives	5% increase/decrease in the volatility would result in an increase of nil thousand and a decrease of NT$0.02 thousand per unit in the profit (loss), respectively.

As of December 31, 2024: None

Valuation process used for fair value measurements categorized within Level 3 of the fair value hierarchy

The Group's finance department is responsible for validating the fair value measurements and ensuring that the results of the valuation are in line with market conditions, based on independent and reliable inputs which are consistent with other information, and represent exercisable prices. The department analyses the movements in the values of assets and liabilities which are required to be re-measured or re-assessed as per the Group's accounting policies at each reporting date to ensure the valuation is reasonable.

(9) Significant assets and liabilities denominated in foreign currencies

Information regarding the significant assets and liabilities denominated in foreign currencies is listed below:

	December 31, 2025		
	Foreign currency (thousand)	Exchange rate	NT$ (thousand)
Financial assets			
Monetary item:			
USD	$24,940	31.43	$783,864
CNY	23,855	4.4945	107,216
CAD	850	22.94	19,499
Financial liabilities			
Monetary item:			
USD	$5,016	31.43	$157,653
CNY	1,379	4.4945	6,198
CAD	54	22.94	1,239

	December 31, 2024		
	Foreign currency (thousand)	Exchange rate	NT$ (thousand)
Financial assets			
Monetary item:			
USD	$56,342	32.785	$1,847,172
CNY	25,276	4.478	113,186
CAD	780	22.82	17,800
Financial liabilities			
Monetary item:			
USD	$4,741	32.785	$155,434
CNY	2,815	4.478	12,606
CAD	114	22.82	2,601

Foreign currencies of entities of the Group varied. Accordingly, the Group is not able to disclose the information of exchange gains and losses of monetary financial assets and liabilities by each significant asset and liability denominated in foreign currencies. The foreign exchange (losses) gains were NT$(79,904) thousand and NT$163,381 thousand for the years ended December 31, 2025 and 2024, respectively.

(10) Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust dividend payment to shareholders, return capital to shareholders or issue new shares.

13. Additional Disclosures

(1) The following are additional disclosures for the Group:

(a) Financing provided to others for the year ended December 31, 2025: None.

(b) Endorsement/guarantee provided to others for the year ended December 31, 2025: None.

(c) Significant securities held as of December 31, 2025 (excluding subsidiaries, associates and joint ventures): None.

(d) Related party transactions for purchases and sales amounts exceeding the lower of NT$100 million or 20 percent of the capital stock for the year ended December 31, 2025: Please refer to Attachment 1.

(e) Receivables from related parties with amounts exceeding the lower of NT$100 million or 20 percent of capital stock as of December 31, 2025: Please refer to Attachment 2.

(f) Others: The business relationship between the parent and the subsidiaries and between each subsidiary, and the circumstances and amounts of any significant transactions between them: Please refer to Attachment 5.

(2) Information on investees

Information of investees over which the Company has direct or indirect significant influence or control: Please refer to Attachment 3.

(3) Information on investments in Mainland China

(a) The name of the investee company in Mainland China, main businesses and products, its issued capital, method of investment, accumulated inflows and outflows of investments from Taiwan, net income (loss) of investee company, percentage of ownership, investment income (loss), carrying amount of investments, accumulated inward remittance of earnings and limits on investment in Mainland China: Please refer to Attachment 4.

(b) Significant direct or indirect transactions with the investees, its prices, payment terms, unrealized gain or loss and other related information which is helpful to understand the impact of investment in Mainland China on financial reports: Please refer to Attachment 5.

14. Segment Information

(1) General information

The major operating revenues of the Group come from designing and selling CPU IP. The chief operating decision maker reviews the overall operating results to make decisions about resources to be allocated and evaluates the overall performance. Therefore, the Group is aggregated into a single segment.

(2) Geographical information

A. Revenue from external customers

	For the years ended December 31,	
	2025	2024
Taiwan	$547,280	$521,891
United States	536,835	426,301
Mainland China	236,966	323,346
Others	157,106	109,969
Total	$1,478,187	$1,381,507

Revenues are presented by the locations of customers' countries.

B. Non-current assets

	December 31, 2025	December 31, 2024
Taiwan	$4,085,933	$2,453,420
United States	43,360	45,131
Mainland China	939	1,830
Others	1,380	2,792
Total	$4,131,612	$2,503,173

C. The major customer

The information for individual customer accounting for more than 10% of consolidated revenues is as follows:

	For the years ended December 31,	
	2025	2024
Customer A	$202,569	$255,532
Customer B	165,953	224,294
Total	$368,522	$479,826

ATTACHMENT 1 :RELATED PARTY TRANSACTIONS FOR PURCHASES AND SALES AMOUNTS EXCEEDING THE LOWER OF NT$100 MILLION OR 20 PERCENT OF CAPITAL STOCK FOR THE YEAR ENDED DECEMBER 31, 2025
(Amounts in Thousands of New Taiwan Dollars)

Company name	Counter-party	Relationship	Transactions				Details of non-arm's length transaction		Notes and Trade receivables (payables)		Note
			Purchases (Sales)	Amount	Percentage of total purchases (sales) (Note)	Term	Unit price	Term	Balance	Percentage of total receivables (payables) (Note)	
ANDES	Andes Technology USA Corporation	Subsidiary	Sales	$ 267,162	23.27%	According to the contract terms	-	-	$ 189,563	57.40%	-

Note： The ratio is calculated based on the parent company only financial statements of Andes Technology Corporation.

ATTACHMENT 2 :RECEIVABLES FROM RELATED PARTIES WITH AMOUNTS EXCEEDING THE LOWER OF NT$100 MILLION OR 20 PERCENT OF CAPITAL STOCK AS OF DECEMBER 31, 2025

Company name	Counter-party	Relationship	Balance of receivables from related parties	Turnover rate	Overdue receivables		Amount received in subsequent period	Loss allowance
					Amount	collection status		
ANDES	Andes Technology USA Corporation	Subsidiary	$ 189,563	1.57	-	-	-	-

ATTACHMENT 3 : NAMES, LOCATIONS, AND RELATED INFORMATION OF INVESTEES OVER WHICH THE COMPANY EXERCISES SIGNIFICANT INFLUENCE (EXCLUDING INFORMATION ON INVESTMENT IN MAINLAND CHINA)

(Amounts in Thousands of New Taiwan Dollars)

Investor Company	Investee Company	Location	Main Businesses and Products	Original Investment Amount		Balance as of December 31, 2025			Net Income (Losses) of the Investee	Share of Profits/Losses of Investee	Note
				December 31, 2025	December 31, 2024	Shares	Percentage of Ownership	Carrying Value			
ANDES	Andes Technology (Samoa) Corporation	Samoa	Investment Holding	$64,450	$64,450	2,058,780	100%	$58,573	$(7,242)	$(7,242)	-
ANDES	Andes Technology USA Corporation	USA	R&D, licensing CPU IP and providing related services	$202,973	$202,973	6,800,000	100%	$62,581	$18,511	$18,511	-
ANDES	Condor Computing Corporation	USA	R&D, licensing CPU IP and providing related services	$29,950	$29,950	1,000,000	100%	$50,389	$(21,325)	$(21,325)	-
ANDES	Andes Technology Canada Corporation	Canada	R&D, licensing CPU IP and providing related services	$23,556	$23,556	1,000,000	100%	$24,224	$736	$736	-
ANDES	Andes Technology Europe GmbH	Germany	Licensing CPU IP and providing related services	$3,440	$3,440	100,000	100%	$895	$(1,478)	$(1,478)	-

ATTACHMENT 4：INFORMATION ON INVESTMENT IN MAINLAND CHINA

(Amounts in Thousands of New Taiwan Dollars/Foreign Currencies in Dollars)

Investee Company	Main businesses and products	Total amount of paid-in capital	Method of investment (Note 1)	Accumulated outflow of investment from Taiwan as of January 1, 2025	Investment flows		Accumulated outflow of investment from Taiwan as of December 31, 2025	Net income (loss) of investee company	Percentage of ownership	Investment income (loss) recognized (Note 2)	Carrying amount as of December 31, 2025	Accumulated inward remittance of earnings as of December 31, 2025
					Outflow	Inflow						
Andes Technology (Wuhan) Corporation	Licensing CPU IP and providing related services	$18,117	(ii)Andes Technology (Samoa) Corporation	$18,117	$-	$-	$18,117	$(4,576)	100%	$(4,576) (ii)	$33,896	$21,584
Andes Shanghai Technology Corporation	Licensing CPU IP and providing related services	$9,258	(ii)Andes Technology (Samoa) Corporation	$9,258	$-	$-	$9,258	$(2,673)	100%	$(2,673) (ii)	$24,224	$19,545

Accumulated investment in Mainland China as of December 31, 2025 (Note 3)	Investment amounts authorized by Investment Commission, MOEA (Note 4)	Upper limit on investment
$27,375 (USD900,000)	$28,287 (USD900,000)	$2,708,900

Note 1 : The methods for engaging in investment in Mainland China include the following:
(i) Direct investment in Mainland China.
(ii) Indirectly investment in Mainland China through companies registered in a third region (Please specify the name of the company in third region).
(iii) Other methods.

Note 2 : The investment income (loss) recognized in current period, the investment income (loss) were determined based on the following basis:
(i) The financial report was audited by an international certified public accounting firm having a business cooperation relationship with an R.O.C. accounting firm.
(ii) The financial statements were audited by the auditors of the parent company.
(iii) Others.

Note 3 : Investment amounts are converted by the exchange rates at the remittance date.

Note 4 : Amounts denominated in foreign currency is converted into New Taiwan Dollars by the exchange rate at December 31, 2025.

ATTACHMENT 5：INTERCOMPANY RELATIONSHIP AND SIGNIFICANT INTERCOMPANY TRANSACTIONS DURING THE REPORTING PERIOD

(Amounts in Thousands of New Taiwan Dollars)

Number (Note 1)	Company name	Counterparty	Relationship (Note 2)	Transactions			
				Financial Statement Account	Amount	Transaction Terms	Percentage of Consolidated Net Sales or Total Assets (Note 3)
0	Andes Technology Corporation	Andes Technology (Wuhan) Corporation	1	Trade receivables-related parties	$3,746	Net 60 days	0.06%
				Contract assets	$4,086	According to the contract terms	0.06%
				Operating revenues	$31,240	Net 60 days	2.11%
				Contract liabilities	$2,103	According to the contract terms	0.03%
		Andes Technology USA Corporation	1	Trade receivables-related parties	$189,563	According to the contract terms	2.97%
				Contract assets	$7,534	According to the contract terms	0.12%
				Operating revenues	$267,162	According to the contract terms	18.07%
				Contract liabilities	$59,039	According to the contract terms	0.92%
				R&D design fees	$131,133	According to the contract terms	8.87%
				Other payables	$8,046	According to the contract terms	0.13%
		Andes Shanghai Technology Corporation	1	Trade receivables-related parties	$31,660	Net 60 days	0.50%
				Contract assets	$11,164	According to the contract terms	0.17%
				Operating revenues	$78,403	Net 60 days	5.30%
				Contract liabilities	$7,719	According to the contract terms	0.12%
		Condor Computing Corporation	1	R&D design fees	$776,528	According to the contract terms	52.53%
				Prepaid expenses	$53,193	According to the contract terms	0.83%
		Andes Technology Europe GmbH	1	Commission expense	$8,837	According to the contract terms	0.60%
1	Andes Technology USA Corporation	Andes Technology Canada Corporation	3	Other payables–related parties	$4,722	Net 30 days	0.07%
				R&D design fees	$65,524	Net 30 days	4.43%

Note 1 : The Company and its subsidiaries are coded as follows:

(1) The Company is coded 0.

(2) The subsidiaries are coded consecutively beginning from "1" in the order presented in the table above

Note 2 : There are three types of relationship categorized as follow:

(1) The holding companies to subsidiaries.

(2) Subsidiaries to the holding companies.

(3) Subsidiaries to subsidiaries.

Note 3 : Percentage of consolidated net sales or total assets is calculated as follows: for the balance sheet accounts, the ending balance of assets or liabilities divided by consolidated total assets, or for the income statement accounts, the interim accumulated amounts divided by consolidated sales.